

16

Butterfly[®], Bearish



RESULTS SNAPSHOT

Appearance: Looks like a big W with the location of turns governed by Fibonacci ratios.

Downward Moves

	Bull Market	Bear Market
Performance rank	4 out of 5	4 out of 5
Breakeven failure rate	27.3%	7.6%
Average drop	−13.0%	−20.2%
Volume trend	Downward	Downward
Point D reversal rate	86%	85%
See also	Bearish bat, bearish butterfly, bearish crab, bearish Gartley	

The bearish butterfly is a Fibonacci-based pattern whose turns are dictated by Fibonacci numbers. I measured performance of Fibonacci-based patterns differently than I do other chart pattern types. That's because we're looking for a reversal at the end of the pattern and not an up or down breakout.